Marico Ltd (MARICO IN) | FMCG - Personal Care

Excellent franchise, priced for perfection

Initiating coverage with a SELL rating on valuation, not on business quality

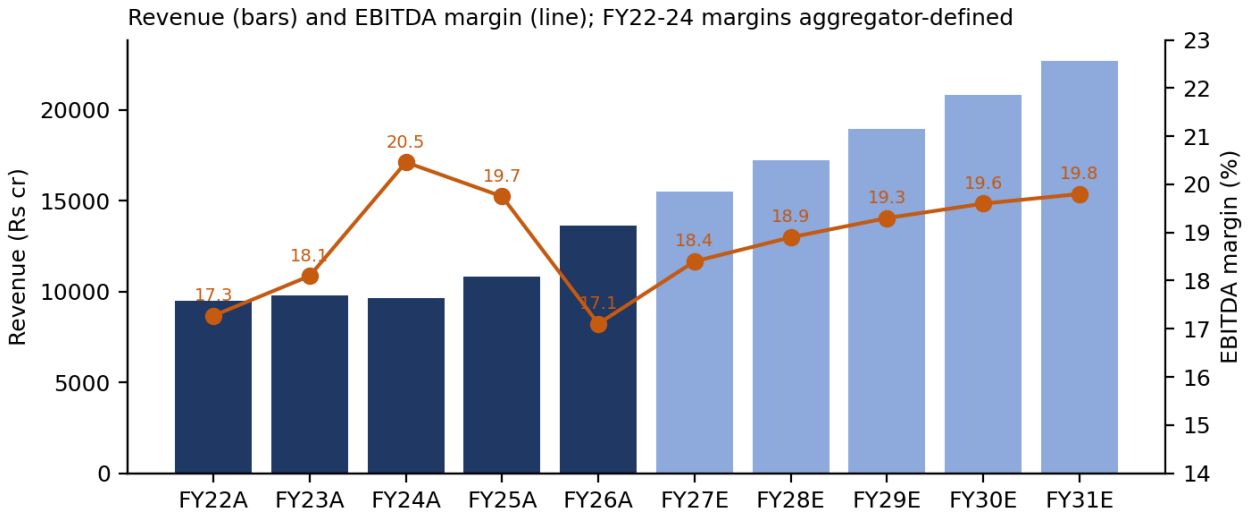
Rating: SELL	12-month target: Rs600	CMP: Rs781 (1 Oct 2026)	Implied return: -23%

Summary

Marico is one of India's best-run consumer companies: FY26 revenue grew 26% to Rs13,611 cr, Q1 FY27 revenue grew 23% with India volumes up 11%, EBITDA margin recovered to 20.7% as copra costs eased, the balance sheet holds net cash, and ROE is above 40%. We do not dispute the quality. Our concern is the price. At Rs781 the stock trades on 53.6x trailing earnings and 49.4x our FY27E EPS, a 26% premium to the peer median of 42.5x, with a market capitalisation of about Rs101,450 cr.

Our blended 12-month target of Rs600 weights a DCF (Rs407) and a peer-multiple valuation (Rs793) equally. The peer-multiple leg alone points to a roughly flat share price (HOLD). The DCF leg is what drives the SELL: a reverse DCF shows the current price needs about 8.8% perpetual growth at a 10.7% WACC, well above the 5.5% we think is defensible. Even the most generous corner of our sensitivity grid (WACC about 9.7%, terminal growth 6.5%) gives Rs561.

- **Business:** volume-led growth, premium mix shift, foods and digital-first brands scaling, international in teens CCG.
- **Estimates:** FY27E revenue Rs15,517 cr (+14%), EBITDA Rs2,855 cr (18.4% margin), EPS Rs15.8; FY28E EPS Rs18.1.
- **Quality of earnings:** FY26 CFO/PAT of 1.18x includes a Rs253 cr working-capital inflow (FY25: Rs293 cr outflow), Rs362 cr of it from other financial liabilities. Before working capital, conversion is ~1.0x in both years. Other income is 9.0% of PBT.
- **What would change our view:** our bull case (12%+ revenue growth, 21% margin) lifts the blended target to Rs679 (-13%), a HOLD, but its DCF is still below the price.



Rs cr	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	10,831	13,611	15,517	17,223	18,946	20,840
growth	12.2%	25.7%	14.0%	11.0%	10.0%	10.0%
EBITDA	2,139	2,328	2,855	3,255	3,657	4,085
margin	19.7%	17.1%	18.4%	18.9%	19.3%	19.6%
PAT (attributable)	1,630	1,762	2,056	2,348	2,646	2,967
EPS (Rs)	12.6	13.6	15.8	18.1	20.4	22.8
P/E at CMP	n/a	57.4x	49.4x	43.2x	38.3x	34.2x
EV/EBITDA at CMP	n/a	42.8x	34.9x	30.6x	27.2x	24.4x
Free cash flow	1,202	1,765	1,776	2,082	2,370	2,665

Source: Company releases, stockanalysis.com, Screener; author estimates. FY25-26 EBITDA is company-defined (summed from quarterly releases).

Investment view

1. The growth is real, but a lot of it is price. FY26 revenue growth of 26% was the fastest in 14 years, yet the Q2 FY26 India business grew 35% on only ~7% volume growth, i.e. price hikes passed through after copra inflation. Q1 FY27 volume growth of 11% in India is a genuine positive, but revenue growth should decelerate as pricing laps and copra eases. We model +14% in FY27E and +9-11% thereafter, reaching ~Rs20,800 cr by FY30E, in line with management's >Rs20,000 cr ambition.

2. Margins are cyclical around copra; the market treats the recovery as permanent. EBITDA margin fell from ~19.7% in FY25 to ~17.1% in FY26 as copra spiked, then rebounded to 20.7% in Q1 FY27. Management guides to roughly 140-150 bps of expansion in FY27 and a mid-teen EBITDA CAGR to FY30. We forecast 18.4% in FY27E rising to 19.8% by FY31E; that already assumes the Q1 improvement mostly holds. A re-inflation of copra is the single largest swing factor for EPS.

3. Diversification is working but still sub-scale. Foods grew 43% in Q1 FY27 (Rs1,300 cr+ run-rate), premium personal care is ~Rs450 cr run-rate, and digital-first brands target double-digit EBITDA margins by FY27. These raise the quality of the mix, but they are also where goodwill has been added (Plix, True Elements, 4700BC, Cosmix); goodwill and intangibles are about 56.4% of equity.

4. Valuation already prices the good news. Marico trades at 43.2x FY28E EPS and 34.9x FY27E EV/EBITDA. Peers trade at a median 42.5x trailing P/E (range 34.6x-58.9x). Marico deserves a premium for higher growth and ROCE, which we set at 10% (46.8x), but not the 26% it currently carries.

Q1 FY27 snapshot

Metric	Q1 FY27	YoY
Revenue (Rs cr)	3,957	+23%
India revenue (Rs cr)	3,003	+21%
India underlying volume	+11%	-
International constant-currency growth	+15%	-
EBITDA (Rs cr)	819	+25%
EBITDA margin	20.7%	+~40 bps
PAT after minority (Rs cr)	630	+25%
Foods revenue growth	+43%	-

Source: Marico Q1 FY27 results (4 Aug 2026) as reported by JM Financial, ICICI Direct/DSIJ, Kotak Neo. PAT figures differ across outlets (Rs630 cr vs Rs652 cr incl. minority).

Forecast assumptions (base case)

Driver	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue growth	14.0%	11.0%	10.0%	10.0%	9.0%
EBITDA margin	18.4%	18.9%	19.3%	19.6%	19.8%
Gross margin	46.0%	46.5%	46.8%	47.0%	47.0%
Capex % revenue	2.5%	2.5%	2.5%	2.5%	2.5%
Effective tax rate	23.5%	23.5%	23.5%	23.5%	23.5%
Dividend payout	75.0%	75.0%	75.0%	75.0%	75.0%

Working capital is held at FY26 days (31 receivable, ~77 inventory on COGS, 56 payable). Other income is modelled at an 8% yield on opening cash, well below the ~Rs290 cr derived for FY26, so FY27E PAT grows slower than EBITDA.

Valuation

DCF (FCFF, 10-year). We discount FY27E-FY36E free cash flow to the firm at a 10.7% WACC (risk-free 6.6%, beta 0.75, equity risk premium 5.5%; debt is ~0.5% of capital) and apply 5.5% terminal growth. Revenue growth fades from 14% to 6.5% by FY36E and EBITDA margin holds at 19.8%. Enterprise value is Rs45,620 cr, of which 65% is terminal value. Adding net cash of Rs1,884 cr, less Rs1,033 cr of debt-like acquisition obligations (a proxy, see QoE), and deducting minority interest gives Rs367 per share today and Rs407 on a 12-month view.

Reverse DCF. To justify Rs781 at our forecasts, terminal growth would have to be about 8.8%, versus the 5.5% we use, which sits below India long-run nominal GDP growth to reflect staples growing slower than the economy over decades. Put differently, the market is pricing either a materially lower cost of capital (our grid at a 9.7% WACC and 5.5% growth still reaches only Rs457) or a much longer high-growth runway than our 10-year forecast.

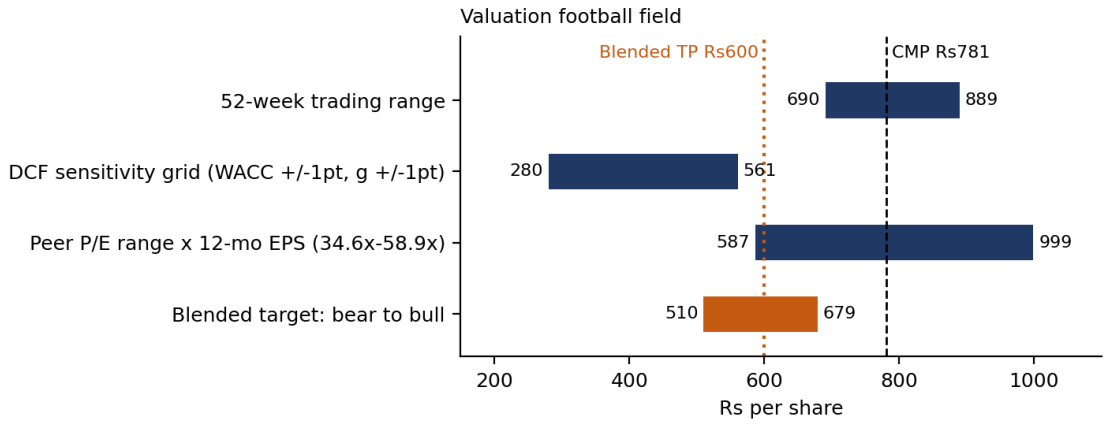
DCF value per share today (Rs): WACC vs terminal growth

WACC \ g	4.5%	5.0%	5.5%	6.0%	6.5%
9.7%	394	422	457	502	561
10.2%	358	380	407	441	484
10.7%	327	346	**367**	393	426
11.2%	302	317	334	355	380
11.7%	280	292	306	323	343

Each cell recomputes the full DCF. No cell reaches the current share price.

Peer multiples. Five Indian staples peers (Dabur, HUL, Godrej Consumer, Colgate, Britannia) trade at a median 42.5x trailing P/E (mean 45.2x). Applying a 10% premium (46.8x) to Marico's ~12-month-forward trailing EPS (average of FY27E and FY28E = Rs17.0) gives Rs793. Peer P/Es were collected on different dates (17 Jul to 7 Oct 2026) and should be refreshed from a single source.

Company	P/E (TTM)	Date
Dabur India	34.6x	7-Oct-26
Hindustan Unilever	42.5x	2-Sep-26
Godrej Consumer Products	58.9x	17-Jul-26
Colgate-Palmolive (India)	41.9x	17-Jul-26
Britannia Industries	47.9x	2-Sep-26
Peer median	42.5x	
Marico (TTM EPS Rs14.6)	53.6x	1-Oct-26



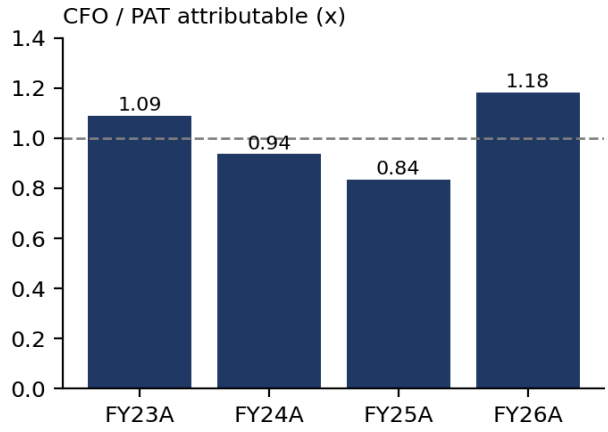
Scenarios

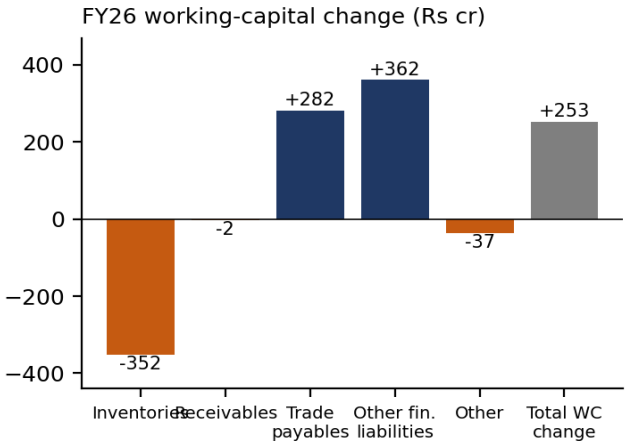
	Bear	Base	Bull
FY28E revenue (Rs cr)	16,170	17,223	18,075
FY28E EBITDA (Rs cr)	2,846	3,255	3,579
FY28E EPS (Rs)	15.8	18.1	19.9
DCF 12-month value (Rs)	310	407	502
Relative 12-month value (Rs)	710	793	856
Blended target (Rs)	510	600	679
Upside / (downside)	-35%	-23%	-13%
Rating	SELL	SELL	HOLD

Probability-weighted target (25/50/25): Rs597. Bear: pricing gives back as copra eases and volume growth slows. Bull: foods, premium and digital scale faster with margins reaching 21%. Even the bull case's DCF is below the share price.

Quality of earnings and balance-sheet screen

Because Marico is a strong business, the QoE question is not 'is it fraudulent?' but 'how much of FY26 is repeatable?' We applied a due-diligence style screen: cash conversion, working capital normalisation, non-operating items and balance-sheet composition.





Rs cr	FY22A	FY23A	FY24A	FY25A	FY26A
CFO	1,016	1,419	1,387	1,363	2,084
Free cash flow	884	1,237	1,234	1,202	1,765
CFO / PAT attributable	n/a	1.09x	0.94x	0.84x	1.18x
Change in working capital	n/a	n/a	n/a	-293	253
CFO ex-WC / PAT total	n/a	n/a	n/a	1.00x	1.01x
Cash conversion cycle (days)	n/a	n/a	n/a	38	34

- **Cash conversion is clean before working capital.** CFO/PAT was 1.18x in FY26 versus 0.84-1.09x in FY23-25, but the audited cash flow shows why: working capital added Rs253 cr in FY26 against a Rs293 cr drain in FY25. Excluding it, CFO/PAT is 1.00x (FY25) and 1.01x (FY26).
- **The inflow is not from collections.** Receivables were flat in rupees (Rs1,271 cr to Rs1,304 cr); debtor days fell from 43 to 35 because revenue grew 26%. Rs362 cr came from higher other financial liabilities and Rs282 cr from trade payables, partly offset by Rs352 cr of inventory build.
- **Non-operating income and tax.** Other income of Rs204 cr is 9.0% of PBT and includes Rs153 cr of investment gains. The 20.4% effective tax rate includes a Rs79 cr deferred-tax credit; we model 23.5%.
- **Balance sheet.** Net cash of Rs1,884 cr (0.8x EBITDA) and ~40x interest cover. But other financial liabilities rose from Rs1,499 cr to Rs2,532 cr, which likely includes obligations to buy out minority holders and deferred consideration. We treat the Rs1,033 cr increase as debt-like (a proxy; it costs about Rs8 per share).
- **Acquisition accounting.** Goodwill and intangibles are ~56.4% of equity after the Plix, True Elements, 4700BC and Cosmix deals. FY26 cash spent on acquisitions and minority buy-outs was Rs673 cr; impairment risk rises if the digital-first brands miss their margin targets.

QoE scorecard

Area	Rating	Comment
Cash conversion	AMBER	CFO/PAT 1.18x in FY26 vs 0.84-1.09x in FY23-25, helped by a Rs253cr working-capital inflow (FY25: Rs293cr outflow). Before working capital it is ~1.0x in both years.
Working-capital driver	AMBER	Rs362cr of the inflow came from higher other financial liabilities (acquisition-linked, not trade payables). Do not capitalise it.
Non-operating income	AMBER	Other income Rs204cr (~9% of PBT) includes Rs153cr investment gains.
Tax rate	AMBER	FY26 effective rate 20.4% includes a Rs79cr deferred-tax credit; modelled 23.5%.
Margin sustainability	AMBER	Q1 FY27 20.7% EBITDA margin benefited from copra cooling; FY26 17.1% shows the downside when copra spikes.
Balance sheet	AMBER	Net cash and ~40x interest cover, but Rs2,532cr of other financial liabilities (NCI puts, deferred consideration) are debt-like.
Acquisition accounting	AMBER	Goodwill and intangibles are ~56% of equity after Plix, True Elements, 4700BC and Cosmix; digital-first brands are still sub-scale.

Risks to our rating

- **Upside risks (stock higher):** copra deflation persists and margins exceed 21%; faster foods and premium personal care scale; consumption stimulus (GST/rural demand); sector re-rating; accretive M&A.
- **Downside risks (stock lower):** copra and edible-oil re-inflation; Gulf/MENA geopolitical disruption; competition in coconut oil and value-added hair oils; slower modern-trade channel; goodwill impairment; de-rating if price-led growth fades.
- **Method risk:** the SELL is DCF-driven. Staples DCFs are very sensitive to WACC and terminal growth. With all the weight on peer multiples our target is Rs793 (about flat), i.e. a HOLD.

Sources and limitations

Sources: the audited filing above, plus company results coverage (exchange4media, Kotak Neo, JM Financial, DSIJ/ICICI Direct, afaqs, AlphaStreet), data aggregators (stockanalysis.com, Screener, craytheon.com, ValueResearch, Trendlyne) and the Marico NSE filing of 4 Aug 2026. FY25-26 financial statements are taken from Marico's audited consolidated results filed with the exchanges on 5 May 2026; FY22-24 history, Q1 FY27 figures and peer multiples come from secondary sources. The Rs1,033 cr debt-like adjustment is a proxy. This is a student research exercise; it is not investment advice and the author is not a SEBI-registered analyst.